

ICAP Strategic Case Study

Summer 2026 - Predicted Paper 8 - Suggested Answers

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Question 1(a) - Working capital analysis and cash conversion actions (16 marks)

KMCH should read the 2026 working capital position against the warning signs already included in the pre-seen. The pre-seen showed strong growth but also highlighted rising receivables, higher inventory, ageing fleet, increased mileage, a slight decline in customer satisfaction and staff turnover. The updated data shows that these pressures have intensified and that growth is becoming more cash-absorbing.

Workings

Ratio / indicator	2025	2026	Interpretation
Revenue	Rs. 1,444.9m	Rs. 1,973.0m (sum of Appendix 3 segments)	Revenue has grown strongly, but the quality of growth must be assessed through receivables, margins and cash conversion.
Inventory	Rs. 18.6m	Rs. 31.4m	Increase of Rs. 12.8m / 68.8%, driven by tyres, spares and batteries held to reduce downtime.
Trade receivables	Rs. 40.7m	Rs. 86.5m	Increase of Rs. 45.8m / 112.5%, much faster than revenue growth.
Cash	Rs. 324.8m	Rs. 142.0m	Decrease of Rs. 182.8m / 56.3%, after fleet deposits, supplier payments and delayed collections.
Trade payables	Rs. 60.8m	Rs. 95.2m	Increase of Rs. 34.4m / 56.6%, showing greater reliance on supplier credit.
Current assets	Rs. 384.1m	Rs. 259.9m	Current assets have reduced despite growth because cash has fallen sharply.
Current liabilities	Rs. 537.8m	Rs. 645.2m	Short-term liabilities have increased, especially lease obligations, payables and accruals.
Net current liabilities	Rs. (153.7)m	Rs. (385.3)m	Short-term funding pressure has deteriorated by Rs. 231.6m.
Current ratio	$384.1 / 537.8 = 0.71:1$	$259.9 / 645.2 = 0.40:1$	Liquidity has weakened significantly. KMCH depends on operating cash inflows and bank support.
Quick ratio	$(40.7 + 324.8) / 537.8 = 0.68:1$	$(86.5 + 142.0) / 645.2 = 0.35:1$	The business has much less liquid coverage of short-term liabilities.
Receivable days	$40.7 / 1,444.9 \times 365 = 10.3 \text{ days}$	$86.5 / 1,973.0 \times 365 = 16.0 \text{ days}$	Receivable days remain apparently modest, but the direction is adverse and the Appendix says some corporate customers now pay after 60-75 days.
Cash as % of revenue	$324.8 / 1,444.9 = 22.5\%$	$142.0 / 1,973.0 = 7.2\%$	Cash buffer has reduced materially while the business is becoming more capital-intensive.

Interpretation

- The main concern is not only that current liabilities exceed current assets. KMCH is a fleet-based business with large lease payments, replacement deposits, maintenance costs and statutory payments. A low current ratio can be manageable only if cash receipts are predictable and collection discipline is strong.
- The increase in receivables is commercially significant. Corporate leasing and chauffeur accounts are growing, but long credit periods mean that reported revenue may not immediately convert into cash. This is consistent with the pre-seen commentary that receivables increased as corporate credit arrangements grew.
- Inventory growth is partly defensible because tyres, spares and batteries reduce vehicle downtime. However, if inventory is not planned by vehicle type, depot and usage pattern, it can trap cash in slow-moving items while still failing to solve availability issues.
- Cash has fallen sharply despite revenue growth. This suggests that fleet growth, maintenance catch-up, supplier payments and delayed customer collections are absorbing cash. The Board should therefore evaluate growth quality, not only revenue growth.
- Trade payables and other payables have increased. Supplier credit has helped cash flow, but excessive stretching of workshop and parts suppliers could damage priority service, warranty support and vehicle turnaround.
- Current lease liabilities remain very large. This creates a fixed cash burden regardless of utilisation and means KMCH cannot rely only on accounting profitability when making expansion decisions.

Recommendations to improve cash conversion without damaging relationships

- Segment corporate customers by strategic importance, profitability and payment behaviour. Key accounts should not be treated the same as weak-paying, low-margin accounts.
- Introduce credit limits and escalation triggers for slow-paying customers, but avoid automatic suspension where invoices are disputed or long payment cycles are contractually agreed.
- Negotiate early-payment incentives, direct debit arrangements, advance deposits or rolling security balances for corporate customers rather than relying only on penalties.
- Review contract pricing for corporate customers so that longer credit terms, replacement vehicles, maintenance cover and fuel protection are priced into the contract.
- Use an aged receivables dashboard by customer, segment and account manager. The Sales and Marketing Director should share accountability for collections where commercial terms were negotiated by the sales team.
- Plan inventory by vehicle model, mileage, depot and failure pattern. Fast-moving critical spares should be held centrally or at key depots, while slow-moving parts should not be overstocked.
- Agree structured supplier terms with key workshops and parts suppliers. KMCH should avoid indiscriminate payment delays because supplier service quality directly affects customer satisfaction and fleet availability.
- Standardise deposit refund rules and explain deduction criteria clearly to customers. Delaying legitimate refunds may improve cash temporarily but would damage trust and brand reputation.
- Link expansion approvals to cash conversion metrics such as receivable days, overdue balances, inventory ageing, cash cover, and supplier service levels.

Overall, KMCH's working capital position has weakened materially. Management should improve cash conversion through disciplined credit, inventory and supplier management, but should not pursue aggressive collection or refund-delay tactics that damage premium positioning and long-term customer value.

Question 1(b) - Portfolio / segment evaluation using BCG or product life-cycle analysis (16 marks)

A portfolio analysis is useful because the segments differ in growth, margin, capital intensity and strategic role. Revenue growth alone is not enough; the Board should ask whether each segment creates value, absorbs cash, supports the brand and fits KMCH's capabilities.

Numerical analysis of segments

Segment	Revenue	Revenue growth	Contribution margin	Contribution	Capital employed	Contribution / capital	Demand growth
Premium self-drive cars	820	7%	34%	278.8	2250	12.4%	Medium
Chauffeur / airport transfer	390	10%	29%	113.1	980	11.5%	Medium to high
Corporate leasing	310	22%	26%	80.6	1150	7.0%	High
Motorcycle / adventure tours	230	18%	20%	46.0	520	8.8%	High but seasonal
Low-performing depot walk-in rentals	165	-4%	11%	18.1	440	4.1%	Low
Digital platform / booking services	58	35%	47%	27.3	160	17.0%	High

BCG / product portfolio interpretation

Segment	Likely portfolio position	Reasoning	Recommendation
Premium self-drive cars	Cash cow / mature core	Strong brand and largest revenue base; medium market growth; good contribution but high capital employed. It is central to KMCH's identity.	Prioritise selectively. Protect service quality, refresh fleet where returns justify it, avoid excessive discounts, and use it to fund growth options.
Chauffeur / airport transfer	Star / attractive growth segment	Medium-high demand, premium positioning, 29% margin and corporate / visitor appeal. Main constraints are driver availability and service consistency.	Prioritise and improve capability. Invest in driver training, scheduling, premium packages and service reliability.
Corporate leasing	Question mark with strategic value	High growth and recurring revenue, but lower contribution return on capital and longest receivable days. It can	Grow selectively. Accept only contracts with priced credit terms, escalation clauses, minimum utilisation and

		consume cash if terms are weak.	strong collection discipline.
Motorcycle / adventure tours	Question mark / seasonal growth segment	High demand growth but only 20% margin, safety exposure, seasonality and guide capability concerns.	Fix before scaling. Run controlled seasonal packages, strengthen safety and training, and avoid overinvestment until profitability and safety are proven.
Low-performing depot walk-in rentals	Dog / decline segment	Negative revenue growth, low margin, older fleet, weak ratings and low market growth. It likely absorbs management attention.	Harvest, restructure or close. Reduce discretionary discounts, consolidate depots, redeploy vehicles and exit if turnaround milestones fail.
Digital platform / booking services	Early-stage star / future enabler	Highest growth and contribution margin, low capital employed and supports other segments, though direct revenue is small.	Prioritise as strategic infrastructure. Continue investment but measure app conversion, uptime, data quality and impact on other segments.

Overall portfolio recommendation

- KMCH should not allocate vehicles and management attention purely based on revenue size. Premium self-drive remains the core brand anchor, but growth capital should increasingly be linked to contribution, cash conversion and strategic fit.
- Chauffeur / airport transfer and digital platform should be prioritised because they support KMCH's premium positioning and future digital model.
- Corporate leasing should be treated as a disciplined portfolio business rather than a simple volume-growth segment. Receivable days, contract profitability and credit terms should be part of acceptance criteria.
- Motorcycle / adventure tours should be developed cautiously. It may be in a growth stage, but its lower margin and safety risks mean KMCH should not scale it faster than training, compliance and emergency-response capability.
- Low-performing depot walk-in rentals should not continue absorbing vehicles and discounts indefinitely. The Board should set a turnaround plan with clear milestones; otherwise vehicles should be redeployed or the depot model rationalised.

Question 1(c) - Pricing discipline and margin protection (8 marks)

KMCH's pricing response should protect margins without undermining its premium position or damaging customer relationships. The pre-seen already showed growth with cost pressure; Appendix 4 shows that standard prices increased by 6%, but fuel, tyres, spares and insurance rose by more than this in several categories. Therefore, the issue is not simply whether prices should increase, but whether pricing is disciplined, transparent and aligned with customer value.

- Introduce segment-specific pricing rather than a uniform increase. Premium self-drive and chauffeur customers may accept higher prices if linked to newer vehicles, reliability, roadside support and guaranteed service quality.
- For corporate contracts, include fuel escalation clauses, mileage bands, replacement-vehicle charges and annual repricing clauses. All-inclusive pricing should not expose KMCH to unlimited fuel, insurance and maintenance risk.
- Control discretionary discounts. Depot managers should not use 12% discounts to hide poor service or weak demand. Discounts should be approved based on contribution margin, customer value and off-peak utilisation.
- Use off-peak and weekend packages to improve utilisation without permanently reducing headline rates. Temporary tactical pricing is safer than uncontrolled discounting.
- Improve transparency over late-return charges, cleaning charges and excess-mileage fees. Hidden or unclear charges may create complaints and reputational damage even if they improve short-term revenue.
- Use early-payment incentives for corporate accounts where the cost of the discount is lower than the financing cost and collection risk.
- Separate value-added premium packages from basic rental. This protects the premium brand and reduces the pressure to compete only on daily rental price.
- Monitor margin by customer, package, depot and vehicle category. Headline revenue growth should not be accepted if it is driven by high discounts, delayed collections and unpriced cost escalation.

Question 2(a) - Three-month cash-flow forecast and Board-level risk assessment (16 marks)

Cash-flow forecast

Cash-flow item	July	August	September
Opening cash / (overdraft)	118	16	(12)
Receipts from self-drive and chauffeur customers	140	155	165
Receipts from corporate customers	65	85	110
Receipts from motorcycle / tour customers	45	60	35
Total receipts	250	300	310
Vehicle lease rentals and finance payments	(74)	(74)	(76)
Payroll and staff-related payments	(48)	(49)	(50)
Maintenance, tyres and spares	(70)	(82)	(65)
Fuel, insurance and operating suppliers	(63)	(68)	(67)
Technology and app-related payments	(20)	(18)	(16)
Tax and statutory payments	(22)	(12)	(18)
Capex deposits for replacement vehicles	(55)	(25)	(10)
Total payments	(352)	(328)	(302)
Net cash flow	(102)	(28)	8
Closing cash / (overdraft)	16	(12)	(4)

In the base case, KMCH moves from Rs. 118 million opening cash to an overdraft of Rs. 12 million in August and Rs. 4 million in September. The peak funding requirement is therefore Rs. 12 million, which is within the Rs. 75 million overdraft facility.

Stress point - delay in corporate collection

Scenario	Impact
Base case peak funding requirement	Rs. 12 million overdraft in August.
If Rs. 30 million of August corporate receipts slips to September	August closing overdraft becomes Rs. 42 million; September still closes at approximately Rs. 4 million overdraft after delayed collection is received.
Overdraft facility	Rs. 75 million, so the stressed case remains within facility but reduces headroom to Rs. 33 million.

Interpretation

- The cash forecast does not show an immediate facility breach, but the business is operating with limited headroom. A single large corporate delay increases the August overdraft requirement from Rs. 12 million to Rs. 42 million.
- The largest cash outflows are lease/finance payments, maintenance, fuel/insurance/suppliers and replacement vehicle deposits. These are not easily avoidable without affecting service capacity.
- The forecast depends heavily on corporate collections, which is consistent with the working capital concern in Q1(a). If corporate receipts slip further or if customer refunds are accelerated, the overdraft headroom could reduce quickly.
- The Board should not interpret a small base-case overdraft as low risk. The forecast covers only three months and includes peak tourism season, catch-up maintenance and capex deposits.

Board-level risk assessment and response

Risk	Assessment	Mitigation	Risk owner
Liquidity / overdraft risk	Medium to high. Base peak overdraft is Rs. 12m, but stressed peak is Rs. 42m and bank has warned against repeated excess drawings.	Negotiate temporary overdraft headroom, prepare weekly cash forecast, delay discretionary capex, prioritise collections and agree trigger levels for Board notification.	Finance Director
Corporate collection risk	High. August cash depends on Rs. 85m corporate receipts and one Rs. 30m collection may slip.	Account-by-account collection plan, early-payment incentives, credit limits, escalation for overdue accounts and contract review for weak-paying customers.	Finance Director / Sales and Marketing Director
Maintenance and availability risk	Medium. Maintenance cash outflows are high, but cutting maintenance would reduce vehicle availability and customer satisfaction.	Prioritise safety-critical and revenue-protecting maintenance; monitor downtime; avoid deferring work that affects compliance or premium service.	Operations Director
Replacement vehicle deposit risk	Medium. Deposits lock delivery prices but absorb cash in July and August.	Stage deposits, negotiate supplier credit, match deposits to approved replacement priorities and avoid speculative fleet orders.	Operations Director / Finance Director
Supplier relationship risk	Medium. Delaying workshop, fuel and spares payments may save cash but could reduce priority service.	Agree structured payment plans with key suppliers and protect strategic suppliers that support fleet availability.	Finance Director
Customer trust / refund risk	Medium. Cash pressure may tempt management to delay deposit refunds.	Refunds should follow clear contractual rules; disputed deductions should be evidenced and escalated; avoid blanket refund delays.	Sales and Marketing Director / Finance Director

Overall, KMCH does not face an immediate insolvency issue, but it does face a cash discipline issue. The Board should approve a weekly cash control process, collection accountability, capex prioritisation and overdraft contingency planning.

Question 2(b) - Relevant costing: outsourced maintenance vs in-house workshop (10 marks)

The decision should be based on incremental future costs and benefits. Sunk costs and allocated head-office administration should be excluded unless they change as a result of the decision.

Relevant cost comparison

Item	Rs. million	Comment
Outsourced model: 5,200 jobs x Rs. 92,000	478.4	Avoidable if standard jobs are moved in-house.
Total relevant outsourced cost	478.4	Benchmark for comparison.
In-house variable parts and consumables: 5,200 x Rs. 54,000	280.8	Incremental variable cost.
Additional technicians and supervisors	96.0	Incremental staff cost.
Workshop lease and utilities	38.0	Incremental fixed cost.
Equipment depreciation and maintenance	34.0	Included as management annual cost estimate; ideally should be replaced with equivalent annual capital cost if full equipment cash flows are available.
Specialist repairs still outsourced	42.0	Will still be incurred under in-house option.
Less: downtime saving / contribution protected	(52.0)	Relevant benefit if faster turnaround is achievable.
Total relevant in-house cost	438.8	Excludes Rs. 22m allocated head-office admin because it would not change.
Annual saving from in-house option	39.6	478.4 - 438.8.

Qualitative considerations

- The in-house workshop appears financially favourable by approximately Rs. 39.6 million per year based on the data. However, the result depends heavily on achieving the estimated Rs. 52 million downtime saving.
- KMCH should check whether the workshop will have enough capacity and skilled mechanics to handle 5,200 standard jobs without creating internal queues.
- An in-house workshop may improve quality control, maintenance consistency and turnaround time, especially for standard jobs and high-utilisation vehicles.
- Specialist repairs, paint, complex engine work and warranty work will still need to be outsourced. Therefore, a complete move away from external workshops is not realistic.
- The workshop creates fixed-cost risk. If jobs fall below expected levels or if vehicles are geographically dispersed, the in-house model may become less economical.
- Safety and compliance must remain central. Cost savings should not lead to rushed repairs or unqualified staff handling specialist issues.
- The Rs. 22 million allocated head-office administration should be ignored for the decision because it is not incremental. Including it would wrongly penalise the in-house option.

Recommendation

KMCH should adopt a hybrid model. Standard, high-volume maintenance for Karachi and nearby depots should be brought in-house if management can validate capacity, technician availability and downtime savings. Specialist repairs should remain outsourced to approved workshops. The Board should approve the workshop only with clear utilisation targets, quality KPIs, safety checks and a post-implementation review of actual savings against the Rs. 39.6 million estimate.

Question 2(c) - Internal charging / transfer pricing between segments (9 marks)

The internal charging system should help the Board understand the real profitability of each segment. Charging shared costs simply based on revenue can distort performance because segments use different vehicles, generate different mileage, require different maintenance intensity and create different levels of platform activity.

- Shared vehicles should be charged based on actual usage, vehicle category, days allocated, mileage and depreciation / lease cost. Premium self-drive, corporate leasing and motorcycle tours should not all absorb costs based only on revenue.
- Maintenance costs should be charged using cost drivers such as number of jobs, mileage, vehicle age, type of vehicle and service intensity. This will prevent low-maintenance segments from subsidising high-maintenance activities.
- Head-office support costs should be allocated only where the segment receives real support and the allocation basis is fair, such as staff headcount, transactions processed, vehicles managed or revenue, depending on the nature of the cost.
- Technology platform costs could be charged based on bookings processed, active app users, API usage or revenue generated through the platform. However, some platform expenditure may be strategic infrastructure and should not be fully charged to early-stage segments if that discourages adoption.
- Internal workshop costs should be charged using standard job rates or activity-based charges. This will allow segment managers to see the cost of vehicle usage and downtime, while avoiding arbitrary allocations.
- The Board should distinguish controllable and non-controllable costs in segment reporting. Segment managers should not be penalised for central decisions they cannot influence.
- Poor internal charging could make low-performing depots appear profitable because they are undercharged for old vehicles and maintenance, or could make corporate leasing appear unattractive because shared costs are overallocated despite recurring revenue.
- The system should support behaviour, not just accounting. If charges are unfair, managers may reject shared vehicles, avoid digital bookings, or resist preventive maintenance because costs appear in their segment while benefits appear elsewhere.

The recommended approach is activity-based internal charging supported by clear policies. It should be simple enough to understand but accurate enough to guide decisions on pricing, capital allocation, segment closure and manager accountability.

Question 3(a) - Regulatory and licence-to-operate implications (10 marks)

The compliance issues should be evaluated as business risks, not only documentation issues. Vehicle-hire businesses depend on customer trust, road safety, valid licences, insurance and regulatory permission to operate. The pre-seen compliance framework should therefore be read together with Appendix 7.

- **Driving licence documentation:** Delays in scanning updated licences for repeat customers create risk that KMCH cannot prove it verified customer eligibility. Manual inspection may not be enough if an accident or enforcement query occurs later.
- **Insurance risk:** Insurance claims may be challenged if vehicles are rented to drivers whose licence status is not properly recorded or if the rental terms are not properly documented.
- **Vehicle fitness certificates:** Incomplete logs for vehicles transferred between Karachi and Lahore create a risk that unfit or expired-certificate vehicles are used. This could lead to fines, accident liability and reputational damage.
- **Motorcycle-tour guide training:** Missing evidence of defensive-driving refresher courses is serious because adventure tours carry higher safety risk. If an incident occurs, KMCH may be unable to demonstrate reasonable care.
- **Accident and incident reporting:** Poor documentation can weaken legal defence, insurance recovery and regulatory reporting if a customer, driver or guide is involved in an accident.
- **Chauffeur / tour-guide compliance:** KMCH should ensure drivers and guides meet licensing, training, working-hour and safety requirements. The brand risk is higher because customers rely on KMCH for professional service.
- **Licence-to-operate risk:** Repeated non-compliance could result in penalties, suspension of approvals, higher insurance cost or restrictions on certain services.

Recommended Board-level actions

- Require a compliance remediation plan covering licence verification, vehicle fitness logs, insurance evidence, guide training and accident reporting.
- Make system evidence mandatory before vehicle release or tour confirmation, with exception approval only by authorised management.
- Pause or restrict motorcycle tours where guide training or vehicle fitness evidence is incomplete.
- Introduce monthly compliance dashboards for expired licences, missing certificates, overdue training and unresolved accident files.
- Assign clear ownership to Operations for vehicle fitness and guide readiness, Sales/Service for customer documentation, and Finance/Compliance for tax and statutory records where relevant.

Question 3(b) - HR, training and retention using exit-interview notes (10 marks)

The exit-interview feedback in the pre-seen should not be treated as a separate HR matter. The updated issues in Appendix 7 show that staff capability, supervision and retention are directly affecting service quality, compliance documentation, pricing explanations and customer disputes.

- KMCH should conduct a structured training needs analysis by role. Depot staff need training on licence verification, vehicle handover, fitness certificate logs and deposit disputes. Customer-service agents need training on pricing packages, excess-mileage charges and complaint handling. Tour guides need safety and defensive-driving training.
- Training should be mandatory before staff handle high-risk activities. For example, motorcycle tours should not be accepted if guides have not completed refresher training.
- Cancelled or informal training sessions should be replaced by a formal learning calendar with attendance records, assessment and refresher requirements.
- Depot managers should receive coaching on supervision, shift allocation, staff communication and service recovery. Exit feedback about informal shift allocation suggests possible fairness and morale issues.
- Career development should be made clearer. Staff turnover has increased from 11.2% to 15.6%, and unclear progression may contribute to loss of experienced employees.
- KMCH should introduce role-based certification for critical tasks such as customer verification, tour-guide readiness, vehicle handover and complaint resolution.
- Employee recognition should be linked to quality and compliance, not just volume. This will discourage behaviour such as rushing handovers, skipping documentation or overusing discounts.
- New package and pricing changes should be communicated through short briefing notes, scripts and FAQs so front-line staff can explain charges transparently to customers.
- HR should monitor retention and exit feedback by depot, role and manager. Repeated issues in a depot should trigger management intervention rather than only recruitment replacement.

Overall, KMCH should move from informal on-the-job learning to a structured capability framework. This is necessary to support growth, protect service quality and reduce regulatory and customer-service failures.

Question 3(c) - Ethical response to aggressive cash-collection / delayed refunds (5 marks)

KMCH should not support a blanket instruction to delay customer deposit refunds or suspend services to all corporate customers over 45 days solely to improve short-term cash flow. This would be ethically weak and commercially damaging.

- Customer deposits should be refunded according to the contract and only reduced for valid, evidenced deductions such as damage, fines, fuel differences or late return charges.
- Delaying refunds without a genuine dispute may amount to unfair customer treatment and could damage KMCH's premium reputation.
- Corporate customers should not be suspended automatically where payment cycles are contractually agreed, invoices are disputed or the relationship is strategically important.
- The ethical response is to apply a fair escalation process: confirm balances, resolve disputed charges, contact customers, agree payment plans, and suspend only where overdue balances are material and unjustified.
- The Board should make clear that cash discipline is important, but it must not be achieved through misleading customers, withholding legitimate refunds or damaging long-term relationships.